

Japan

1.1 Overview

Japan is the world's third largest economy. In the past, specific sectors that have experienced significant M&A and investment activity include financial services, including insurance and securities brokerage; telecommunications; automotive; retail; and information technology. Historically, the volume of mergers and acquisitions has been relatively low in Japan compared to other major industrialised markets. However, there have been significant developments in the Japanese M&A market over the last several years.

First, the volume of M&A transactions increased enormously in the early part of the decade, peaking at over 2,500 transactions in 2006—a five-times increase on volumes seen ten years earlier. In 2013, 2,048 M&A deals involving Japanese companies were completed. The biggest driver of this expansion has been domestic growth, i.e. transactions between Japanese corporations. The volume of inbound transactions also rose during the period but fell sharply following the global financial crisis (GFC). The GFC did, however, trigger a wave of outbound transactions as Japanese corporations took advantage of comparatively robust balance sheets, lower prices and less competition for offshore assets to expand in overseas markets. There is strong optimism that this trend will continue in the foreseeable future.

Second, Japan witnessed increasing numbers of private equity funds, both domestic and foreign, entering the M&A market, driving growth in buy-outs and acquisition finance in Japan and ushering in more volumes of public-to-private transactions.

Third, the decade saw a series of major corporate law reforms introduced in 2006 which made it possible to implement a range of new M&A vehicles, such as triangular mergers, and prompted several high-profile corporate takeover attempts and a wave of 'poison pill' plans. Further changes are expected to come with the first major amendment to the Companies Act (the Amendment), due to come into force in May 2015. The Amendment sets out a number of new rules and regulations including a new mechanism for majority shareholders to utilise in 'squeezing-out' small minority shareholders. The Amendment expressly provides for a new squeeze-out option under which a majority shareholder holding a 90% or greater stake in any company (whether public or private) will be entitled (with the approval of the board of directors) to compel all other shareholders and option-holders to sell their shares and options in the company to the majority shareholder. It is hoped that this new scheme will enable a squeeze-out to be completed quickly and efficiently without adverse tax consequences.

1.2 General Legal Framework

The Japanese legal system is a civil law system modelled principally on German and French law. Some specialised legislation, such as the Financial Instruments and Exchange Act (FIEA), is modelled on US law.

The primary sources of Japanese law are codes and statutes. Key codes and statutes applicable to M&A include the Companies Act, the FIEA and the Anti-Monopoly Act. Foreign investment is subject to certain mandatory reporting requirements and, in limited instances, approval procedures under the Foreign Exchange and Foreign Trade Act (FEFTA).

As in many civil law jurisdictions, in most cases the primary codes and statutes set out only the broad legal principles. These are supplemented, to some extent, by case law and subordinate legislation.

However, for cultural and other reasons, litigation in the commercial sphere is relatively rare in Japan, and on many issues no extensive body of case law exists.

Subordinate legislation may take the form of cabinet orders, enforcement orders, ministerial orders and other rules formulated by government agencies. Although these regulations help articulate the law, considerable discretion is often vested in the agency charged with administering them.

1.3 Corporate Entities

Two main types of company available in Japan are:

- a corporation, known in Japan as a '*Kabushiki Kaisha*' (sometimes translated as 'joint stock company') or 'KK', and
- a limited liability company, known in Japan as a '*Gōdō Kaisha*' or 'GK'.

1.3.1 Corporations

The most common form used by foreign companies setting up operations in Japan is the KK corporation. A KK is similar to a US close corporation or, when listed on a stock exchange, akin to a US public corporation. It is also similar to the German AG corporate form. A shareholder's liability is limited to the initial capital contribution made for the shares to which it subscribes.

The Companies Act allows a KK to be incorporated using a range of different corporate governance models.

The minimum governance requirement depends on the size and type of a KK. The simplest corporate governance model for a private KK (i.e. one that restricts the transfer of shares in its articles of incorporation) involves the appointment of just one director.¹ If a KK has only one director, the sole director automatically becomes the representative director. A KK must have at least one representative director who must be a resident of Japan (but need not be a Japanese national).² For KKs that have only one director, major actions are approved either by the representative director or the shareholders.

A private KK can further choose whether or not to organise its directors as a board. A KK that chooses to organise its directors as a board, fittingly referred to as a 'Corporation with a Board of Directors' (*torishimariyakukai secchi kaisha*) in Japanese corporate law terms, must appoint at least three directors, of which at least one must be appointed as a 'representative director'. A Corporation with a Board of Directors must also have at least one company auditor (or a board of at least three company auditors, if a listed company), unless the KK has adopted a committee system of governance.

A KK that has adopted the three-committee system of governance, a corporation with committees (*iinkai secchi kaisha*) has the following board level committees: audit committee, nomination committee and compensation committee. Each committee must have at least three directors, the majority of whom must qualify as outside directors under the Companies Act. Unlike the traditional corporation with a board of directors, in a corporation with committees, the board of directors has a primarily oversight function, while the day-to-day business is executed by the executive officers appointed by the board of directors. The Amendment will add the corporation with an audit and supervisory committee (*kansa-to-iinkai secchi kaisha*) as a further option among the range of governance models. This model will feature one board level committee, the audit and supervisory committee³ which must be comprised at least three directors, a majority of which must qualify as outside directors under the Companies Act.

The Companies Act abolished the previous requirement of a minimum share capital of JPY10 million for the incorporation of a KK. It is now possible for a KK to incorporate with capital of only one Yen. However, a KK must have net assets of at least JPY3 million before it may distribute profits to shareholders.

¹ Note however, that a private KK that has stated capital of JPY500 million or more, or total liabilities of JPY20 billion or more, falls within the definition of a 'Large KK' and becomes the subject of additional duties, including being required to appoint at least one company auditor and an accounting auditor.

² Note however, that discussions are ongoing within the Japanese government to abolish this residency requirement.

³ To more clearly distinguish between this model and the Corporation with Committees model, both of which embody a committee system, the name of the Corporation with Committees model will be changed to *shime-iinkai-to secchi kaisha* (loosely translated as 'corporation with nomination and other committees', however, the official English translation of the new form has yet to be confirmed).

1.3.2 Limited liability companies

The Companies Act also introduced a new 'hybrid' entity that is a combination of a company and a partnership. This is the GK which is modelled along the lines of the US LLC. A GK functions internally like a partnership but the members' liability is limited.

It is possible to incorporate a GK with just one investor, described as a 'partner'. Each partner has the right to manage the GK, but 'executive partners' may be appointed to operate and manage the GK if this option is provided for in the articles of incorporation. An executive partner owes fiduciary duties to the GK, similar to those that directors owe to a KK. There is no stated minimum number of executive partners under the Companies Act. It is possible for a legal entity (i.e. a corporation, including a foreign company) to become an executive partner, as long as the legal entity appoints an individual, referred to as the 'executive manager', to represent it. Although not specifically stipulated in the Companies Act, it is possible for a foreign company to be the sole partner of a GK. In that scenario, it is necessary for the foreign company to appoint an individual as the executive manager to represent it. The executive manager representing the foreign company must be a resident of Japan but need not be a Japanese national. However, where there is more than one executive manager, only one executive manager is required to be a resident of Japan. The executive manager owes fiduciary duties to the GK similar to those that a director would owe a KK.

There is no minimum capital requirement upon the incorporation of a GK. Accordingly, it is possible to establish a GK with just one Yen. A GK may distribute profits periodically to members to the extent it has any distributable surplus.

2. Acquisition Methods

In Japan, a private acquisition usually takes the form of either a share acquisition, which involves purchasing the shares in the company that owns the business, or a business transfer, which involves purchasing the assets and liabilities of the business being acquired. However, mergers and company splits are also widely used for business acquisition purposes.

2.1 Acquisition of Shares

An acquisition of shares in a Japanese private company may be implemented by way of private agreement, whereas an acquisition of shares in a company listed on a Japanese stock exchange may trigger certain tender offer requirements under the FIEA if an acquirer seeks to acquire more than one-third of the company's voting shares in an off-market transaction. A share purchase agreement (SPA) is usually prepared to record the agreement of the parties over their respective rights, obligations and liabilities in connection with the transaction.

2.2 Business Transfer

The Companies Act recognises two types of business transfer: one that involves the transfer of 'all or a substantial part' of a Japanese company's business which requires approval by a special resolution of the shareholders (see **3.2.2**), and one that does not. The distinction between the two different types of transfer is not always clear. For example, a sale by a company of a single manufacturing facility, or a single operating division or branch office may be regarded as a transfer of a 'substantial part' of its business. However, the question is usually determined on the basis of an objective assessment of the relative importance of the business sold compared with the company's overall business (e.g. as a proportion of the company's total amount of sales, earnings and workforce). The Companies Act indicates that a transaction would not be deemed a transfer of a 'substantial part' of a company's business if the book value of the assets being transferred is not more one-fifth of the total assets of the seller, and the transaction will therefore be exempted from the special shareholders' resolution requirement if that is the case.

2.3 Mergers/Other Acquisition Methods

2.3.1 Mergers

There are two types of merger available under the Companies Act:

- merger by absorption, where the acquirer takes over all of the assets and liabilities of the target company and the target company is dissolved, and
- merger by incorporation, where the assets and liabilities of both parties are acquired by a newly incorporated third party and both parties are dissolved.

Merger by absorption is by far the most common method used in Japan.

A merger will usually proceed by way of an issue of shares in the surviving company to the shareholders of the target company. A merger is often used to rationalise the operations of subsidiary entities. 'Cash-out' mergers, involving mergers by absorption, are also allowed under the Companies Act.

The Companies Act does not currently permit mergers directly between foreign corporations and Japanese corporations. However, there are provisions under the Companies Act that permit acquisitions of Japanese corporations using shares in foreign companies (so-called 'triangular mergers'). Subject to certain Japanese tax law requirements, triangular mergers can take place by way of an allocation of the foreign company's shares owned by its Japanese subsidiary (the surviving company) to the shareholders of the target company (the dissolving company).

2.3.2 Company splits

The Companies Act provides for two types of company split:

- an incorporation-type company split (*shinsetsu bunkatsu*) in which a new company is incorporated by operation of law and acquires the assets and liabilities divested by the company undergoing the split, and
- an absorption-type company split (*kyūshū bunkatsu*) in which an existing company acquires or 'absorbs' the assets and liabilities divested by the company undergoing the split.

In the context of a company split transaction, the legal term for the divesting company (the company undergoing the split) is the 'splitting company' and the legal term for the company taking over the assets/liabilities from the splitting company is the 'succeeding company'.

Company splits are often used as an alternative structure to business transfers because they are more efficient from a procedural perspective (no need to obtain third-party or employee consents – see Employee Issues) and also from a tax perspective (see Transfer Taxes).

3. Negotiation, Signing and Closing

3.1 Customary Issues in Negotiating Acquisition Agreements

The following is a brief overview of certain key provisions in typical Japanese purchase agreements. Baker & McKenzie's fully interactive comparison of these same provisions across the range of jurisdictions covered in this Handbook can be accessed by clicking [here](#).

Purchase Price

1	Is a purchase price adjustment common?	Purchase price adjustments common. All types seen, including working capital adjustment, cash-free debt-free, NAV adjustments.
	What type is common (e.g. debt-free, cash-free)?	

2	Is there a collar on the adjustment?	Collars are not common.
3	Who prepares completion balance sheet?	Usually prepared by seller or target company.
4	Is the balance sheet audited?	Not necessarily.
5	Is an earn-out common?	Not common.
6	Is a deposit common?	Not common.
7	Is an escrow common?	Not very common, but occasionally requested. Few local escrow service providers. Buyers may also rely on holdback.
8	Is a break fee common?	Uncommon.
Conditions Precedent		
9	Express Material Adverse Event (MAE) completion condition?	Often seen where there is a long period before execution and completion. More common where a Japanese buyer is involved.
10	Is the MAE general or specific?	Both are seen.
11	Quantification of MAE?	Not sufficiently widespread to qualify as common.
Covenants, Access		
12	Is a non-compete common? Do you use waterfall/blue pencil provisions?	Common, but not from private equity sellers. Waterfall provisions uncommon.
13	Non-solicit (of employees)?	Common (in conjunction with a non-compete).
14	Non-solicit (of customers)?	Common (in conjunction with a non-compete).
15	Broad access to books, records, management between sign and close?	Generally get this for private deals.
16	Is it common to update warranty disclosure or notify of possible breach? What is the consequence?	Both are seen but more common to notify of possible breach (though notification usually not deemed to constitute exception to applicable warranty). Consequence of breach negotiable: right to terminate or claim damages.
17	Is a separate tax covenant/indemnity or tax deed common?	Not sufficiently widespread to qualify as common.
Representations and Warranties		
18	Materiality in representations – how is it quantified (e.g. by a \$ amount)?	Materiality qualifiers commonly seen but are often not quantified (other than specific warranties e.g. contract value).
19	How is knowledge qualified (e.g. specific people, actual/constructive knowledge)?	Knowledge qualifiers depend on risk-sharing in the deal. Often limited to the actual knowledge and due enquiry of a specified list of senior management.

20	Is a warranty that there is no materially misleading/omitted information common?	Not very common but can be negotiable depending on buyer's bargaining power and extent of disclosed information during the course due diligence.
21	Is disclosure of data room common?	Becoming more common where a UK/Australian seller is involved.

Repetition of Representations and Warranties

22	Is it common to repeat warranties at completion/at all times between signing and completion? Is bring-down certificate at completion common?	Repetition at completion common. Bring-down certificates not very common.
23	What is the applicable standard? True in all material respects? Material Adverse Effect standard?	Both seen in Japan.
24	Is double materiality common? e.g. where a materiality qualification is included in the bring-down condition to one party's obligation to close as well as in one or more representation.	Double materiality usually avoided.

Limitations on Liability

25	What is the common cap amount (as a percentage of purchase price)?	Buyer will ask for 100% but usually negotiated down. Range from 10%–100%.
26	Does the cap (and other limitations on liabilities) apply to the whole agreement or just warranties (or other particular terms)?	Both are seen regularly.
27	What are the common exceptions to the cap?	Key warranties are often excepted (e.g. title, capitalisation, authority). Often tax and specific areas of concern, sometimes with specific higher caps. Separate caps can be negotiated.
28	Is a deductible or basket common?	Becoming more accepted in market. Deductible very much case-by-case.
29	Is a <i>de minimis</i> common?	Becoming more common.
30	How long does liability survive? Are there any common carve-outs (e.g. fraud, tax, key warranties)?	If tax indemnity included, tax matters usually survive until a short period after SOL, i.e. the period in which tax authorities can audit the target.
31	Is warranty insurance common?	Not so common generally, but has been used (e.g. in private equity exits).

Reliance

32	Do financiers seek to rely on buyer's due diligence reports?	Becoming more common (but many law firms reluctant to agree).
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Set-offs against Claims

33	Is a set-off against claims for tax benefits common?	Not very common but seen.
34	Insurance proceeds?	Common for actually received.
35	Third party recoveries?	Common for actually received.

Damages, Knowledge

36	Obligation to mitigate damages?	Civil law system, so not required by law, but sometimes express.
37	Exclusion of consequential damages?	Common but often expressed differently as there is no defined concept of 'consequential damages' in Japan.
38	Is it common to include provisions that there is no liability if buyer had knowledge or buyer's knowledge no effect on warranty/indemnity?	Often silent.

Dispute Resolution

39	Does local law allow for a choice of governing law? What is the common governing law?	Yes, if not contrary to public policy. Japanese law often chosen in any event.
40	Is litigation or arbitration more common? If arbitration, where?	Litigation is more common. Forum usually Tokyo district court.

Stamp Duty

41	If stamp duty is payable, is it normally shared?	Stamp duty not levied on share transfers.
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3.2 Formalities for Execution of Documents**3.2.1 Transfers of shares**

Board approval by the target company's board of directors may be required where a transfer of shares is restricted under the target company's articles of incorporation and the target company has a board of directors. Such restrictions are fairly common in closely held Japanese companies. If the target company's articles of incorporation include a restriction on share transfer and the target company does not hold a board meeting, then the transfer of shares will require a shareholders' resolution of the target company.

The approval of the seller's board and the buyer's board will also be required if the sale/purchase of the target's shares constitutes the disposition/acquisition of 'important property'. Further, after the Amendment, a special resolution of the seller's shareholders is also required if:

- the target company is a subsidiary of the seller
- the seller ceases to hold the majority of shares in the target after the sale, and
- the book value of the transferred shares in the target constitutes more than one-fifth of the total asset value of the seller.

3.2.2 Business transfers

Disposition/acquisition of 'important property' vs 'all or a substantial part' of a business

Whether or not the sale is of 'all or a substantial part' of the seller's target business, if the transaction involves the disposition or acquisition of 'important property,' board approval is required from the seller. Whether or not a transaction involves important property will be determined by considering the price of the assets, the proportion of assets transferring from the target relative to the target's total assets, the purpose of the transaction, the terms and conditions of the transaction, and past practice. Depending on the significance of the acquisition from the buyer's perspective, board approval may also be required from the buyer.

In addition, a business transfer involving 'all or a substantial part' of a Japanese company's business will be subject to a special resolution of the seller's shareholders. A special resolution is adopted by a two-thirds majority vote of the shareholders present at a general meeting of shareholders attended by shareholders holding more than one-half of the total voting rights of shareholders who are eligible to exercise voting rights at a general meeting of shareholders. If the business transfer involves the transfer of all of the Japanese company's business, a special resolution of the buyer's shareholders will also be required.

The distinction between the two different types of business transfer is not always clear. In practice, many buyers tend to proceed cautiously when an asset acquisition is involved. It is common for buyers to interpret the scope of the business transfer provisions widely and to insist on a special shareholders' resolution by the seller's shareholders (i.e. interpreting the transaction as involving a transfer of 'a substantial part' of the seller's business) to avoid violating the Companies Act when the book value of the assets is more than one-fifth of the total assets of the seller.

Asset acquisition by newly incorporated Japanese subsidiary

Foreign investors wishing to acquire Japanese assets via a recently established Japanese subsidiary should note that if the acquisition occurs less than two years after the subsidiary's incorporation, it may be subject to the post-incorporation asset purchase rules of the Companies Act.

The general rule is that if a subsidiary that is less than two years old agrees to acquire property:

- existing before its incorporation
- intended to be used on a continuing basis for purposes of the company's business, and
- at a price equal to more than one-fifth of the company's net asset value (this threshold may be lowered in the articles of incorporation).

then a shareholders' resolution is required to approve the asset acquisition in addition to a board resolution.

3.3 Formalities for Transferring Title to Shares or Assets

3.3.1 Transfers of title to shares

In a share acquisition involving a private company which issues share certificates, transfer of title of the shares takes place by the delivery of share certificates to the buyer. If the target company does not issue share certificates (private companies have the option not to issue share certificates under the Companies Act), transfer of title of shares takes place by agreement between the transferor and the transferee. The transfer must be registered in the target company's shareholders' register in order for the transferee to be able to assert its rights as a shareholder against the company.

3.3.2 Transfers of title to assets

In an asset sale, it is necessary to separately deal with each category of asset and liability. Contracts must be individually assigned to the buyer and, where necessary, third-party consents obtained. Much will depend on the type of asset being acquired and what is required to effect a transfer. The seller will

be obliged to obtain the consent of any employees to be transferred to the buyer. In many cases, the seller and employees will expect the buyer to provide the same employment conditions that existed prior to the sale.

3.4 Formalities for Mergers

A merger requires the approval of the board of directors and shareholders of both the acquirer and the target.

However, if:

- the total value of the total number of shares issued by the acquiring company upon the merger, multiplied by the net asset value per share of the acquiring company and the total book value of bonds or any other assets⁴ issued by the acquiring company upon the merger does not exceed one-fifth⁵ of the net asset value of the acquiring company, and
- there is no objection by any shareholder(s) of the acquiring company holding more than one-sixth of the total voting shares in the acquiring company⁶.

then the approval of the acquiring company's shareholders is not required (known as a 'simplified merger' (*kan i gappei*)).

That said, even if the above conditions are met, the approval of the acquiring company's shareholders will be required if:

- the acquiring company has assumed a net loss as a result of the merger, or
- the acquiring company's articles of incorporation include a restriction on share transfer and shares are issued by such company upon the merger⁷.

If a party owns 90% or more of the shares in the party to be the surviving party of the merger (described as a 'special controlling relationship'), the approval of the surviving party's shareholders will not be required (known as a 'short-form merger' (*ryaku shiki gappei*)) unless the surviving company issues shares upon the merger and any of such shares are subject to share transfer restrictions pursuant to the articles of incorporation of the surviving company. Also, if a party owns 90% or more of the shares in the disappearing party, the approval of the disappearing company's shareholders will not be required.

Both the acquirer and the target must publish public notices regarding the merger to allow creditors the opportunity to object to the proposed merger.

3.5 Formalities for Company Splits

A company split (assuming it is an absorption-type company split in the context of private M&A) requires the approval of the board of directors and shareholders of both the seller and the buyer.

However, if the book value of the split assets is not more one-fifth of the total assets of the seller, then the approval of the seller's shareholders is not required (known as a 'simplified company split' (*kan i kaisha bunkatsu*) of the seller).

On the other hand, if:

- the sum of the total number of shares issued by the buyer upon the company split, multiplied by the net asset value per share of the buyer and the total book value of bonds or any other

⁴ This includes cash.

⁵ The 1/5 threshold may be lowered by the articles of incorporation of the acquiring company.

⁶ The 1/6 threshold may be varied by the articles of incorporation of the acquiring company.

⁷ The Companies Act requires the approval of the acquiring company's shareholders for share issuances if such company's articles of incorporation restrict the transfer of shares. Note that this applies throughout this chapter.

assets⁸ issued by the buyer upon the company split does not exceed one-fifth⁹ of the net asset value of the buyer, and

- there is no objection by any shareholder of the buyer holding more than one-sixth of the total voting shares in the buyer¹⁰.

then the approval of the buyer's shareholders is not required (known as a simplified company split of the buyer).

Nonetheless, even if these conditions are met, the approval of the buyer's shareholders will be required if:

- the buyer assumes a net loss after the company split, or
- the buyer's articles of incorporation include a restriction on share transfer and shares are issued by such company upon the company split.

If a party owns 90% or more of the shares in the other party ('special controlling relationship'), approval of the controlled company's shareholders will not be required unless the controlled company, being the buyer, issues shares upon the company split and its articles of incorporation restrict the transfer of shares.

The buyer must publish a public notice regarding the company split to allow its creditors the opportunity to object to the proposed company split. The seller must also publish a public notice regarding the company split except where the seller will be held jointly and severally liable for the liabilities transferred to the buyer.

4. Regulatory Framework

4.1 Competition Law Considerations

The Anti-Monopoly Act prohibits mergers and acquisitions if they will substantially restrain competition in any particular market, or if the merger or acquisition involves unfair trade practices. To give this prohibition teeth, the Anti-Monopoly Act imposes certain reporting and approval requirements in relation to certain M&A transactions.

Broadly speaking, transactions involving share acquisitions, business transfers, asset acquisitions, mergers and company splits that meet thresholds set out in the Anti-Monopoly Act are subject to prior notification to the Fair Trade Commission (FTC).

4.2 Merger Control Overview

The following is a brief overview of the merger control position (including thresholds and timetables for clearance) in a typical Japanese purchase agreement, the latter taken from Baker & McKenzie's Global Merger Analysis Platform (GMAP). GMAP answers 90 detailed questions on merger control law in 120 jurisdictions across the globe (see Appendix C for further details).

Filing Obligation

1	Is a filing obligation voluntary or mandatory (i.e. are there penalties for failure to notify or for implementing a transaction without notification or approval)?	Mandatory.
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⁸ This includes cash.

⁹ The 1/5 threshold may be lowered by the articles of incorporation of the acquiring company.

¹⁰ The 1/6 threshold may be varied by the articles of incorporation of the acquiring company.

Timetable

2	In practice, what is the timetable for clearance (in Phase I and Phase II review)?	The FTC is prepared to clear a transaction within Phase I (i.e. 30 calendar days) if the transaction does not raise competition issues and in particular where the parties have engaged in an extensive pre-notification process. If, however, the transaction gives rise to serious competition issues, it can be difficult to predict the exact timetable, but previous cases have taken between 6 and 7 months from filing date to achieve clearance.
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4.2.1 FTC review

The FTC may review a direct or indirect acquisition of a Japanese company or business, and has power to order the parties to a transaction deemed as substantially restraining competition in a particular market to take a range of remedial steps to restore competition, including the divestiture or transfer of a business.

FTC guidance¹¹ outlines the circumstances in which a proposed merger or acquisition may or may not be regarded as substantially restraining competition in a particular market. This refers to the 'Herfindahl-Hirschmann Index' (HHI) which is calculated as the sum of the squared market share of each company in a particular market. If the business combination only involves two parties, the HHI increment can be calculated by doubling the sum of the squared market share of each company group.

The guidelines specifically state that a share acquisition, asset acquisition (including a business transfer) or merger is unlikely to be deemed to have an anti-competitive effect where the following occurs in the HHI after the business combination:

HHI after business combination	HHI increment
<1,500	not relevant
>1,500 but <2,500	<250
>2,500	<150

Amendments to the guideline which came into force in July 2011 abolished the system of prior informal consultation under which the FTC granted informal clearance to difficult transactions before the parties formally filed a notification.

Under the amended guidelines, the FTC reviews proposed business combinations within the framework of the formal notification system under the Anti-Monopoly Act and no longer grants informal clearance in response to a voluntary consultation prior to a filing.

4.2.2 Restrictions on financial institutions

The Anti-Monopoly Act prohibits banks from owning more than 5%, and insurance companies from acquiring more than 10%, of the issued voting shares in any Japanese company. The prohibition applies whether the acquirer bank or insurance company is incorporated in Japan or overseas. However, this prohibition does not apply where prior permission is obtained from the FTC or where the acquisition falls within the scope of certain exemptions (e.g. under the exercise of security rights) provided under the Anti-Monopoly Act.

¹¹ Guidelines on the Application of the Anti-Monopoly Act to Reviewing Business Combinations.

4.2.3 Reporting and approval requirements under the Anti-Monopoly Act

Under the Anti-Monopoly Act, a prior notification must be filed with the FTC in relation to mergers, asset acquisitions, share acquisitions and certain company splits which meet certain thresholds set out in the Act.

The parties to a transaction that requires a prior notification filing are prohibited from effecting the transaction for a period of 30 days after the filing. However, the FTC can shorten the waiting period. The FTC also has power to ask the parties to submit additional information regarding the transaction.

If the FTC does ask for additional information during the 30-day waiting period, it may still take action in relation to the transaction even after the 30-day waiting period (and until either 120 days from the date of acceptance of the initial notification, or 90 days from the date of acceptance of the additional information, whichever is later).

Share acquisitions

The acquiring company must file prior notification with the FTC no later than 30 days before completion of the share acquisition, where:

- the total amount of domestic sales¹² of the acquiring company (whether a domestic or foreign company) and the other companies in the combined group of companies¹³ exceeds JPY20 billion
- the total amount of domestic sales of the target company and its subsidiaries exceeds JPY5 billion, and
- as a result of the acquisition, the aggregate percentage of the total voting shares in the target company held by the acquiring company and the other companies in the combined group of companies exceeds 20% or 50%.

An acquisition of shares on the incorporation of a wholly-owned subsidiary is not subject to this reporting requirement.

Business and asset acquisitions

The acquiring company must file prior notification with the FTC at least 30 days before completion of the acquisition where:

- the total amount of domestic sales of the acquiring company (whether domestic or foreign) and the other companies in the combined group of companies exceeds JPY20 billion
- if the acquisition involves the company's entire business, the company's total amount of domestic sales exceeds JPY3 billion, and
- if the acquisition involves a material part of the company's business or all or a material part of the fixed assets used in the company's business, the total amount of domestic sales related to the target business or fixed assets exceeds JPY3 billion.

¹² The phrase 'total amount of domestic sales' means the sum of the domestic sales of all of the companies that belong to the combined group of companies.

¹³ The phrase 'combined group of companies' means a group that consists of a company and its subsidiaries and the ultimate parent company of the company, if any, and the subsidiaries of the ultimate parent company (excluding that company and its subsidiaries).

Mergers

Both parties to a merger must file a prior notification with the FTC at least 30 days before the completion of the merger where:

- the total amount of the domestic sales of the combined group of companies to which one company belongs exceeds JPY20 billion, and
- the total amount of domestic sales of the combined group of companies to which the other company belongs exceeds JPY5 billion.

A merger between a parent company and a subsidiary or between two or more subsidiaries of the same parent is not subject to this prior notification requirement.

Company splits

In company splits involving multiple transferors, all parties (i.e. including the transferee entity), must file a prior notification with the FTC at least 30 days before the completion of the company splits where certain thresholds are met.

Timetable

The FTC is prepared to clear transactions within Phase I (i.e. 30 calendar days) as long as they do not raise competition concerns and in particular where the parties have engaged in an extensive pre-notification process. However in cases where the FTC requests the submission by the parties of any reports, information or materials during the period, the deadline for the FTC's action may be extended up to either 120 calendar days from the date of acceptance of the notification, or 90 calendar days from the date of acceptance of the reports, information or materials that the parties are requested to submit, whichever is later. If the transaction gives rise to serious competition issues, it can be difficult to predict the exact timetable, but past cases have taken between 6 to 7 months from the filing date to achieve clearance.

4.3 Exchange of Competition-Sensitive Information and 'Gun-Jumping' Issues

Although the Anti-Monopoly Act does not expressly provide any rules in relation to the exchange of competition-sensitive information, such information exchange should be restricted in accordance with the Broad Principles of Information Exchange and 'Gun-Jumping' set out at Appendix A when taking into consideration the general prohibition of unreasonable restraints of trade in Japan. There have, however, been no cases of enforcement in relation to gun-jumping in Japan.

4.4 Anti-Bribery, Corruption and Money Laundering

4.4.1 Anti-bribery in the public sector

Penal Code (Act No 45 of 1907)

Bribery of Japanese public officials is criminalised under the Penal Code. Specifically, under the Penal Code, a person who gives, offers, or promises to give a bribe (in the form of any benefit, including food and drink) to a Public Officer in connection with the official's duty is guilty of bribery, unless such offers or promises are considered necessary as a common courtesy. Under Article 198 of the Penal Code, an offender can be imprisoned for a term of up to three years or be subject to a fine of up to JPY2.5 million.

Under Article 7 of the Penal Code, a 'Public Officer' means, a national or local government official of Japan, a member of an assembly or committee of Japan, or other employees engaged in the performance of public duties for the government of Japan in accordance with laws and regulations.

Special laws governing certain publicly funded organisations (e.g. public universities and incorporated administrative agencies), further expand the application of the anti-bribery provisions of the Penal Code to directors and employees of such organisations as 'quasi-public officials' (*minashi koumuin*).

Unfair Competition Prevention Act (Act No 47 of 1993; UCPA)

Japan has ratified and implemented the OECD Anti-Bribery Convention - see Appendix D. The implementing legislation is the UCPA. Article 18(1) of UCPA provides that:

'No person shall give, or offer or promise to give, any money or other benefits to a Foreign Public Officer for the purpose of having the Foreign Public Officer act or refrain from acting in a particular way in relation to his/her duties, or having the Foreign Public Officer use his/her position to influence another Foreign Public Officer to act or refrain from acting in a particular way in relation to that officer's duties, in order to obtain illicit gains in business with regard to international commercial transactions.'

Violations are punishable by:

- imprisonment for a term of up to five years, and/or
- fine of up to JPY5 million.

The term 'foreign public officer' is defined in Article 18(2) as a person who engages in:

- public services for a foreign, state, or local government
- services for an entity established under a special foreign law to carry out specific affairs in the public interest
- the affairs of an enterprise of which the number of voting shares or the amount of capital subscription directly owned by one or more of the foreign, state, or local governments exceeds 50 percent of that enterprise's total issued voting shares or total amount of subscribed capital, or of which the number of officers (which means directors, auditors, secretaries, and liquidators and other persons engaged in management of the business) appointed or designated by one or more of the foreign, state, or local foreign governments exceeds half of that enterprise's total number of officers, and to which special rights and interests are granted by the foreign state or local governments for performance of its business, or a person specified by a Cabinet Order as an equivalent person
- public services for an international organisation (which means an international organisation constituted by governments or intergovernmental international organisations), or
- the affairs under the authority of a foreign, state, or local government or an international organisation, and which have been delegated by such organisation.

4.4.2 Anti-bribery in the private sector

In certain limited cases such as those involving former government owned monopolies or fiduciary relationships, special laws specifically governing those entities or relationships, may also subject private sector individuals to penal sanctions prescribed under those laws for certain acts of bribery.

4.4.3 Money laundering

The Act on Prevention of Transfer of Criminal Proceeds (Act No. 22, 2007) applies to a broad scope of 'specified business operators' including lawyers and accountants, banks and other lending institutions, and insurance companies, in connection with benefits or money received from drug related crimes or organised crime. Such entities have duties to perform 'know-your-client' checks to confirm the identity of customers when conducting certain specified dealings.

4.5 Exchange Control, Foreign Investment Restrictions and Trade Regulation

Foreign investment in Japanese companies and businesses is regulated by the FEFTA.

Certain reporting or approval requirements may apply to direct inward investments depending on:

- the jurisdiction in which the investor is located (i.e. whether it is an approved country or not)
- the industry in which the target company or business operates (i.e. whether it is a regulated or a non-regulated industry), or
- the nature of the particular asset involved (for asset acquisitions).

4.5.1 Exchange controls

One of the stated aims of the FEFTA is to liberalise foreign exchange and foreign trade – i.e. subject foreign investment to as little regulation and compliance duties as possible. Capital flows relevant to mergers and acquisitions in Japan are therefore largely free of government controls.

However, cash remittances of more than JPY30 million into or out of Japan must be reported to the Minister of Finance (MoF). This reporting obligation is directed at and applicable to residents only. In practice, however, the Japanese bank involved in such remittance usually prepares and files such report on behalf of its customer as a service for its customer.

The repatriation of profits and dividends by branches and subsidiary forms is unrestricted in Japan. Bond issues, whether overseas by Japanese residents or by foreign residents in Japan, do not require government approval. However, issues involving sums of JPY100 million or more may be subject to an after-the-fact reporting requirement.

4.5.2 Foreign investment approvals and notifications

Share acquisitions

General case filing obligation

Foreign investors (usually foreign corporations) must file an 'after-the-fact' report with the MoF and other relevant ministers through the Bank of Japan (BoJ) by the 15th day of the month following the month in which the investor acquires shares in a Japanese company. This filing is generally regarded as a mere formality and does not require extensive disclosure of information.

However, no after-the-fact report is required if, as a result of the acquisition, the investor and any related companies do not in the aggregate hold 10% or more of the issued shares in a company.

Exceptional case filing obligation

However, foreign investors purchasing any number of shares in a company¹⁴ in Japan must file:

- at any time during the six months prior to the acquisition, a notification, and
- within 30 days after the acquisition, an execution report, with the MoF and any other relevant ministers through the BoJ.

if either:

- the investor is located in a jurisdiction that is not included in the MoF list of designated jurisdictions
- the target company is engaged in business in a regulated industry, or

¹⁴ For the exceptional case filing obligation, the 10% threshold of aggregate holdings does not apply, except in case of acquisitions of the shares of a listed company (in which case the Exceptional Case Filing Obligation will be required only if, as a result of the acquisition, the investor and any related companies in the aggregate hold 10% or more of the issued shares in the listed company).

- the investor is Iranian and acquires shares in a company which operates a business in which Iranian investment is prohibited.

Regulated industries include:

- telecoms (i.e. including telecoms carriers which must be registered under Art. 9, Telecommunications Business Act)
- electricity
- agriculture and fisheries
- marine and air transportation
- petroleum
- leather goods
- aerospace
- nuclear power, and
- gunpowder and armaments.

Offshore share acquisitions

Foreign investors who acquire shares in a non-listed company from another foreign investor need not file a prior notification or after-the-fact report regarding the acquisition.

If the foreign investor disposing of the shares previously filed a prior notification under the FEFTA, that foreign investor will be required to file an after-the-fact report with the MoF.

Asset acquisitions

If a foreign investor acquires assets directly from a Japanese seller, the acquisition will be subject to certain reporting requirements under the FEFTA. The reporting requirements differ depending on the asset involved. For example, non-residents must report acquisitions of real property located within Japan to the MoF (through the BoJ) within 20 days of an acquisition of real estate. Personal property is generally exempt from these requirements.

Mergers

The Companies Act does not currently provide for mergers between foreign corporations and Japanese companies. A foreign investor can only participate in a merger, as the acquiring party, through a wholly-owned or controlled Japanese subsidiary. If a foreign investor proposes to establish a new company in Japan with a view to acquiring the assets of a Japanese company through a merger, the acquisition of shares in the new company will be subject to the reporting requirements and restrictions that apply under the FEFTA to share acquisitions (see above). However, the Companies Act does permit some acquisitions of Japanese corporations using shares in foreign companies (so-called 'triangular mergers').

Changes of business purposes

A change of a foreign-held company's business purposes will also trigger a FEFTA prior notification requirement if that change relates to a regulated industry. A change not relating to a regulated industry is not subject to any prior notification or reporting requirement.

4.6 Industry-Specific Regulation

Thresholds have been established with respect to foreign ownership in certain industries. The rules vary for individual companies within these industries and should be checked at the time an acquisition is being contemplated. Foreign individuals and companies may still invest in these companies beyond the set caps. However, they cannot be registered as shareholders and will therefore not enjoy the usual shareholder rights (e.g. voting rights and dividend rights).

The major industries to which these rules apply include the following.

- **Telecommunications:** Foreign investors are permitted to acquire 100% of the shares in all Japanese telecoms companies, except for Nippon Telegraph and Telephone East Corporation (NTT-East); Nippon Telegraph and Telephone West Corporation (NTT-West); and Nippon Telegraph and Telephone Corporation (NTT, being the holding company of NTT-East and NTT-West). Less than one-third of all of the voting rights of NTT may be foreign-owned, and NTT-East and NTT-West must be owned by NTT
- **Airlines:** Foreign investors are permitted to acquire 33.3% of all voting rights in Japanese airline companies
- **Broadcasting:** Foreign investors are permitted to acquire less than 20% of all voting rights in general broadcasting and communications companies and other similar companies. The regulations relating to broadcasting such as cable, satellite and similar companies are technical; and the restrictions should be confirmed prior to any substantial acquisition in this sector.

In certain industries, the relevant regulator may have to be notified and in some instances its consent or approval sought in relation to an acquisition or merger. For example:

- **Telecommunications:** where the whole of a telecoms business is transferred or there is a merger or a company split of a telecoms carrier, an after-the-fact notice must be provided without delay to the Minister of Internal Affairs and Communications
- **Stock company-type financial instruments exchange:** where 5% or more of the voting rights in a stock company-type financial instruments exchange is acquired, an after-the-fact notice must be made without delay to the Prime Minister through the competent Local Finance Bureau. Where the percentage is 20% or more, the approval of the Prime Minister is also required
- **Banks:** M&A involving banks must be approved by the Commissioner of the Financial Services Agency. If more than 5% of the voting rights in a bank are acquired, an after-the-fact notice must be made within 5 business days of the acquisition to the competent local finance bureau; and for 20% or more of the voting rights, approval of the Commissioner of the Financial Services Agency is also necessary.

5. Transfer Taxes

5.1 Acquisition of Shares

Share purchase agreements are not subject to stamp duty in Japan.

5.2 Acquisition of Assets

Acquisition of assets is subject to the following taxes:

Tax Type	Transaction	Tax Rate
Real property acquisition tax	Acquisitions of buildings	3% (residential buildings) or 4% (other buildings) of the appraisal value based on a fixed assets tax
	Acquisitions of land	3% of appraisal value based on a fixed assets tax (or half of the appraisal value based on a fixed assets tax in the case of residential land)
Registration and licence tax	Acquisitions of real property, except land	2% of appraisal value based on a fixed assets tax
	Acquisitions of land	1.5% of appraisal value based on a fixed assets tax until 31 March 2015 (to be extended to 31 March 2017 under 2015 tax legislation proposals)
	Transfer of ownership of any other registrable assets acquired from the transferor, such as registrable intellectual property	Registration tax of JPY15,000 per patent and JPY30,000 per trademark, etc.
Stamp duty	Agreements for the acquisition of business assets, including real property, intellectual property rights, etc., that are prepared and executed in Japan.	Progressive and are assessed on amount of purchase price stated in the agreement. Maximum amount of stamp duty payable is JPY600,000 on an agreement involving a purchase price of more than JPY5 billion.

5.3 Mergers and Splits

Mergers and company splits are subject to the following taxes:

Mergers

Tax Type	Transaction	Tax Rate
Stamp duty	Merger agreement	Flat rate of JPY40,000 per original agreement
Registration and licence tax	Acquisitions of real property	0.4% of appraisal value based on a fixed assets tax
	Transfer of statutory intangibles, such as patent registrations and trade marks	Registration tax of JPY3,000 per patent and JPY3,000 per trade mark, etc.

Company Splits

Tax Type	Transaction	Tax Rate
Stamp duty	Company split agreement/ plan	Flat rate of JPY40,000 per original agreement
Real property acquisition tax	Acquisitions of buildings	3% (residential buildings) or 4% (other buildings) of appraisal value based on a fixed assets tax
	Acquisitions of land	3% of appraisal value based on a fixed assets tax (or half of the appraisal value based on a fixed assets tax in the case of residential land). If certain conditions are met, the company split is not subject to real estate acquisition tax.
Registration and licence tax	Acquisitions of real property, except land	2% of appraisal value based on a fixed assets tax
	Acquisitions of land	1.8% until 31 March 2015; 2% of appraisal value based on a fixed asset tax (on or after 1 April 2015)
	Transfer of statutory intangibles, such as patent registrations and trade marks	Registration tax of JPY15,000 per patent and JPY30,000 per trademark, etc.

5.4 Value Added Tax

Consumption tax (similar to VAT) will be imposed at a rate of 8% on the transfer of taxable assets (e.g. inventory and fixed assets, both tangible and intangible). The rate will rise to 10% from 1 April 2017. Acquisitions of shares, mergers and splits are not subject to Japanese consumption tax.

6. Employee Issues

6.1 Method of Transfer under Local Law

6.1.1 Acquisition of shares

An acquisition of the shares in a corporate employer will not affect its obligations to its employees because the employing entity will remain the same. In practice, however, the buyer may need to change the working conditions of the employees if the target is moved from one company group to another and the buyer wishes to integrate the target's working conditions with the working conditions of the other group companies.

To change working conditions that have been individually agreed with each employee, the consent of each employee will generally be required. If those working conditions are provided for under the work rules or their ancillary rules, such terms can be changed for the workplace by following the procedures set by the Labour Standards Act. However, even if those procedures are followed, certain changes may still be challenged on an individual basis by employees who are detrimentally affected by the change. Any detrimental change in the working conditions provided under the work rules will be valid only when:

- the employees consent to the change (detrimental changes will not be effective against non-consenting employees), or
- the change is reasonable considering the circumstances as a whole taking into account various factors including economic factors or business needs (Arts 9 and 10, Labour Contract Act and relevant case precedents).

6.1.2 Acquisition of assets/businesses

When a business is sold, the seller must obtain the consent of any employee that the buyer proposes to employ (Civil Code). Any employee whom the buyer proposes not to employ will remain an employee of the seller. If the seller finds it necessary to dismiss any employees who choose to remain with it, such dismissal must meet both procedural and substantive requirements, failing which the dismissal may be invalidated. (See **6.4** for the substantive requirements.)

A transfer of an employee to the buyer can be effected by either:

- a resignation by the employee from the seller and re-hire by the buyer, or
- a transfer of the employment contract from the seller to the buyer.

In general, the resignation and re-hire process is used more frequently where the employees are transferred to a company outside the seller's current group of companies; whereas the transfer of contract process is more frequently used where the employees are transferred within group companies.

Both methods require the consent and co-operation of the transferring employees. The action plan for either method should include a comparison of the original working conditions of the employees with those which the buyer is in a position to offer – this will necessarily require the cooperation of both the buyer and the seller. The goal of this exercise is to identify the potential impact of the transfer on each employee and the appropriate measures to be taken to address those impacts and develop an approach for the consent process. To obtain consent from all of the target employees as smoothly as possible, it is recommended that the new working conditions offered to the employees are no less favourable than their existing conditions.

Termination and re-hire

If an employee resigns from the seller and then is re-hired by the acquirer/employer, that transferring employee is entitled to be paid retirement benefits accrued with the seller, upon the transfer. However, employees can choose to have accrued retirement benefits and other entitlements (e.g. pension benefits) transferred to the buyer rather than have them paid out on the transfer (and usually prefer this latter course). The feasibility and procedures for the transfer of such accrued entitlements should be carefully assessed at an early stage. Such practical issues may include portability of the accrued benefits as well any requirements/consents of third party benefit providers that might apply. See **6.3**.

Transfer of employment contract

Employment contracts will transfer from the seller to the buyer. As a general rule, the conditions of employment of the employee remain unchanged after the transfer, and accrued retirement benefits and other entitlements will also be transferred to the buyer. In practice, however, this may result in the transferred employees and existing employees having different working conditions, which would not be viable for the buyer-employer. It may not even be possible to maintain the same benefit schemes for the transferred employees after the transfer due to limitations faced by the buyer. For example, where the buyer acquires the business through a newly established special purpose vehicle, such entity may not be able to meet a third-party benefit provider's requirements for corporate enrolment (e.g. number of years since incorporation). Replicating the same benefits can also be difficult where the buyer's benefit programs are so structurally different from those provided by the seller to its employees that the costs and effort required to do so may be prohibitive. See **6.3**.

The conditions of employment of the incoming/transferred employees may therefore need to be adjusted after the transfer, which requires very careful handling, and must follow the set procedures for changing working conditions as discussed in **6.1.1**. In practice, the consent to such changes in conditions of employment should be obtained from each employee at the same time as they consent to the business transfer.

6.1.3 Mergers and splits

Mergers

In a merger situation, the employees of the target company become employees of the merged entity as of the merger date by operation of law. There is no requirement for either the acquirer or target to obtain the consent of their respective employees to the merger itself.

However, where there are differences in the employment conditions of the acquirer and the target company, harmonisation of the working conditions may become necessary. Working conditions may also need to be adjusted after the merger if the same benefit schemes cannot be maintained (see **6.1.2**). The procedures for changing the working conditions as set out in **6.1.1** must be followed in these circumstances.

Company splits

Under the company split process, as a general rule, all assets, liabilities and contracts are transferred with the transferring business by operation of law. The employment contracts, as with other types of contracts, will automatically transfer from the splitting company to the succeeding company, without the need to obtain the consent of each employee, under the same terms and conditions. In order to protect employees in a company split scenario, the Act on the Succession to Labour Contracts upon Company Splits (ASLCCS) sets out certain requirements concerning consultations, notices and objection rights as described below.

To transfer employees in a company split, the splitting company must complete two types of consultation process:

- consultation with the labour union/employee representative (under Art. 7, ASLCCS), and
- consultation with the employees engaged in the transferring business (under Art. 5, Supplementary Provisions of Act Revising a Portion of the Commercial Code etc.).

The Supreme Court has held that failure to consult with the target employees may invalidate the transfer of the employees in a company split if:

- no consultation takes place at all, or
- the seller's consultations or communications are insufficient and clearly do not satisfy the underlying purpose behind the consultation requirement.

Once the consultations are undertaken in accordance with the correct procedure and completed, the splitting company must send notice to:

- employees primarily engaged in the business to be succeeded to by the succeeding company (core employees), and
- the employees covered under the split agreement/plan as those who will be succeeded to by the succeeding company (transferring employees).

Further, the splitting company must send notice to the labour unions with which it has concluded collective bargaining agreement(s), if there are any.

The notice requirement is framed in these two distinct ways because it is not only the Transferring Employees who have a right to notice. That is, all Core Employees are also entitled to notice even if some may not be among the Transferring Employees agreed between the buyer and the seller. This is significant for the purposes of the objection rights discussed below.

After receipt of the above notices, the following groups of employees have a right to object either to being transferred, or not being transferred.

- Non-Core Employees who are included among the Transferring Employees can object to being transferred, and
- Core Employees who have not been included among the Transferring Employees and are not being transferred can object to not being transferred.

These employees must exercise this right of objection during the period from the date of the notice until one day before the date of the shareholder's resolution relating to the corporate split.

6.2 Approval or Consultation Requirements

Where a target company's employees are unionised and a collective bargaining agreement has been concluded between the union and the seller, those agreements might require the seller to:

- notify the union
- engage in advance consultations with the union, and/or
- obtain the union's consent to the proposed acquisition.

Even where no collective bargaining agreement exists or one exists but does not require such notification, consultation and consent, it is probably advisable to properly communicate with the unions. The individual consent of each employee must be obtained in certain circumstances, so from a practical perspective, having the unions on-side can facilitate matters.

Sufficient time for such union consultations should be factored in.

6.3 Transfer of Benefit Schemes

Because various types of benefit can be offered, and employees will receive different packages from company-to-company, it may not always be possible to directly transfer a benefit scheme in any kind of company re-organisation. Parties should therefore ascertain the feasibility of, and processes required for the transfer of each and every benefit scheme made to employees of the seller at an early stage.

For example, take a scenario involving the transfer of pensions. Pension schemes (or retirement benefit plans) vary from company to company and their transfer might need the approval/involvement of the lead trust bank and/or government.

Another example would be health insurance. Some companies enrol in a health insurance association (HIA) scheme. HIA is a private association authorised by the government to provide health insurance in the place of government health insurance. In general, HIA policies usually offer better benefits to employees (health coverage) than government health insurance. Parties should be aware of the fact that transfer of such schemes needs government authorisation.

6.4 Protection against Dismissal

Dismissal of an employee will be invalid if it is found to have been conducted in a manner which is an 'abuse of the employer's right of dismissal'. A dismissal will be considered an 'abuse' and therefore null and void if it is not based on objectively reasonable grounds or is 'not considered to be appropriate in general societal terms'. The courts determine whether these standards are met based on the circumstances of each case.